IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CP (CAA)No.27/BB/2018
U/s 230-232 of Companies Act, 2013

In the matter of:

M/s. Vmoksha Technologies Pvt. Ltd.
Regd. Off: Plot 2799 & 2800,
27th Main, (Off ORR), Sector 1,
HSR Layout,
Bengaluru –560 102. - Petitioner Company/ Transferee Company

AND

M/s. KEMEFS Specialities Private Limited - Transferor Company

Date of Order: 9th November, 2018

Coram: 1) Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

Parties/Counsel Present:

For the Petitioner : Shri Upendra C. Shukla

O R D E R

Per: Rajeswara Rao Vittanala, Member (J)

1. C.P.(CAA)No.27/BB/2018 was filed by M/s.Vmoksha Technologies Private Limited (the Petitioner/Transferee Company) U/Ss 230-232 of the Companies Act, 2013, by inter alia to sanction the Scheme of Amalgamation of M/s.Kemefs Specialities Private Limited (Transferor Company) with M/s.Vmoksha Technologies Private Limited and to declare the same to be binding on the Petitioner Company and their respective Shareholders and Creditors, etc.

2. Brief facts of the case, which are relevant to the issue in question, are as follows:

1) M/s.Vmoksha Technologies Private Limited (Petitioner Company/ Transferee Company) was incorporated on 11.09.1998 as a Private Limited Company under the provisions of Companies Act, 1956, with Registrar of Companies, Karnataka vide Registration No.U72200KA1998PTC024208 under the name and style "Kemefs E-Solutions Private Limited" and in consequence thereof a Certificate of Incorporation was issued by the Registrar of Companies, Karnataka, Bengaluru. Subsequently, by virtue of a special resolution passed by the shareholders, the name of the Company was changed to 'Vmoksha Technologies Private Limited' and a fresh Certificate of Incorporation dated 08.07.2001 was issued by the Registrar of Companies, Karnataka.

2) The main objects of the Petitioner Company as set out in its Memorandum of Association is inter alia to carry on the business of developing and marketing of computer software and marketing of other related products and services connected with the information technology industry, etc. Its Authorized Share Capital as on 31.03.2017 is Rs.12,00,00,000/- divided into 12,00,000 Equity Shares of Rs.100/- each. And Issued, Subscribed & Paid-up Share Capital is Rs.9,87,52,500/- divided into 9,87,525 Equity Shares of Rs.100/- each fully paid-up.

3) M/s.Kemefs Specialities Private Limited (Transferor Company)was incorporated on 28.08.1998 as a Private Limited Company under the provisions of Companies Act, 1956, with Registrar of Companies, Maharashtra, vide Registration No.U74999MH1998PTC116359. The Registered Office is situated at Shop No.200, Citi Mall, New Link Road, Andheri (West), Mumbai, Maharasthra. Its main objects as set out in its Memorandum of Association is inter alia to carry on the business of manufacturing, processing, formulating, exporting, importing, buying, selling, dealing as agents, distributors of manufacturers, traders, dealers of all types of petrochemicals, chemicals, plastic of every kind,

micro biological preparations, agro chemicals, etc. Its Authorized Share as on 31.03.2017 is Rs.10,00,00,000/- divided into 49,08,000 Equity Shares of Rs.10/- each (Amounts to Rs.4,90,80,000/-) and 50,92,000 Preference Shares of Rs.10/- each (Amounts to Rs.5,09,20,000/-). And its Issued, Subscribed & Paid-up Share Capital as on 31.03.2017 is Rs.7,42,71,800/- divided into 47,72,018 Equity Shares of Rs.10/- each fully paid-up (amounts to Rs.4,77,20,180/-), 5,91,080, 9% Redeemable Preference Shares of Rs.10/- each (Amounts to Rs.59,10,800/-) and 20,64,082 5% Redeemable Preference Shares of Rs.10/- each (Amounts to Rs.2,06,40,820/-).

4) It is stated that the Board of Directors of the Petitioner Companies at their meeting held on 28.07.2017 have approved and adopted a Scheme of Amalgamation by virtue of which M/s. Kemefs Specialities Private Limited (Transferor Company) is proposed to be merged with M/s.Vmoksha Technologies Private Limited (Applicant/Transferee Company) subjection to confirmation.

5) A copy of Certificate issued by M/s.Balu&Anand, Chartered Accountants, certifying that the accounting treatment proposed in the aforesaid scheme is in conformity with the accounting standard prescribed under Section 133 of the Companies Act, 2013, vide its Certificate dated 27.03.2018.

3. The Learned Counsel for the Petitioner submit that in pursuant to the notice ordered on 01.06.2018, the Applicants have issued notices to all statutory authorities namely Central Govt through Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad, The Registrar of Companies, Karnataka, the Income Tax Authorities, the RBI. And also published a 'Notice of Petition' in 'Business Standard" in English and 'Kannada Prabha' in Kannada, Bangalore Edition on 05.07.2018.

4. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 13.08.2018, by inter alia contending as follows:

1) *"The Clause 14 provides for Clubbing of Authorised Capital of the Transferor Company with Transferee Company in the Scheme. Transferee Company upon such clubbing, has to pay the differential fee if any as per Section 232(3)(i) of the Companies Act, 2013, after setting off the fee already paid by the Transferor Company.*
2) *As per Sub Section (6) of Section 232 of the Companies Act, 2013, the scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. However, Clause 2.5 of the scheme is contrary to Sec 232(6) of the Companies Act, 2013 and hence needs modification.*
3) *The Company has appointed Company Secretary, KMP, from 15/06/2018. The petitioner transferee company in its letter dated 30.7.2018 has submitted that although the Transferor company is a loss making entity has complied with the provisions of Sec.203 of the Companies Act, 2013. Since the transferor company is to be merged with the transferee company which is going to be in existence, the offences if any can be compounded by the Transferee Company.*
4) *M/s.Chance World International BSC, Bahrain holds 9,87,515 Equity Shares of Rs.100/- each and Sri Rajeev Sawhney holds 10 equity shares of Rs.100/- each in the Transferee Company. Sri Rajeev Sawhney holds 23,74,090 equity shares of Rs.10/- each, M/s. Chance World International, BSC, Bahrain holds 23,97,918 equity shares of Rs.10/- each and Ms. Gitanjali Sawhney holds 10 equity shares of Rs.10/- each in the Transferor Company.*

5) *The petitioner companies have at Clause 12 of the scheme proposed that the accounting treatment is as per AS-14 "Pooling of Interest" method. However, it is observed that*

   1. *In Clause 12.4 of the Scheme, the adjustment of "Reserves" is not specified in accordance with AS-14.*
   2. *All the equity Shareholders of Transferor Company are not the equity shareholders of Transferee Company.*
   3. *The Transferor Company and Transferee Company are in different lines of business. The scheme is silent if the business of Transferor Company will be continued by Transferee Company.*

   Hence, the scheme is not in compliance of AS-14 "Pooling of Interest method". The petitioner company be directed to comply with the same.

6) *As per the Share Exchange Ratio proposed in the Scheme, for every 3,86,779 Equity Shares of Rs.10/- each, 1,00,000 equity shares of Rs.100/- each of Transferee Company will be issued. The paid up Equity Share Capital of Transferee Company is Rs.4,77,20,180/- divided into 47,72,018 equity shares of Rs.10/- each. Hence, the Transferee Company has to issue 12,33,784/- new equity shares of Rs.10/- each to the Shareholders of Transferor Company. The Transferee Company's present paid up capital is Rs.9,87,52,500/- divided into 9,87,525 equity shares of Rs.100/- each. Thus, the total number of shares (old+new) will be 22,21,309 equity shares of Rs.100/- each aggregating to Rs.22,21,30,900/-. Also, the Petitioner Company is issuing preference share capital to the preference shareholders of the Transferor Company. However, as per Clause 14.1 and 14.3 of the scheme, the Authorized Share Capital proposed for increase in the scheme is only Rs.22,00,00,000/-. Hence, this needs modification."*

5. The Registrar of Companies, Karnataka vide his Affidavit dated 20.07.2018 has made the following observations:

1. *"Clause 14 provides for Clubbing of Authorized Capital of the Transferor Company with Transferee Company in the Scheme. Transferee company upon such clubbing, has to pay the differential fee if any as per Section 232(3)(i) of the Companies Act, 2013, after setting off the fee already paid by the transferor company.*
2. *As per Sub Section (6) of Section 232 of the Companies Act, 2013, the scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. Though in the present scheme, appointed date specified as 01/04/2017, it is not clearly stated the effective date.*
3. *Transferee Company and Transferor Company have a common foreign shareholder i.e. M/s.Chance World International, BSC, Bahrain. Transferee Company while allotting shares to the shareholders of the Transferor Company as per the clause of consideration at S.No.11.1 of the Scheme, shall comply necessary FEMA/RBI regulations.*
4. *Transferee Company does not have preference shares in its account. To issue preference shares and equity shares to the shareholders of Transferor Company, the company needs to increase its authorized capital if it is not sufficient.*
5. *The company has appointed Company Secretary, KMP, from 15/06/2018.*
6. *Transferor Company is registered with RoC, Mumbai.*
7. *Transferee Company has adopted pooling of Interest Method of Accounting as per Accounting Standard-14 for the Scheme of Amalgamation.*
8. *Transferee Company had obtained order from Hon'ble NCLT, Bengaluru Bench in order No.CA(CAA) No.07/BB/2018, dated 26/02/2018 to*

dispense with the holding of the meetings of shareholders, secured and unsecured creditors of the Transferee Company.

9. *There are no prosecutions, complaints and Technical Scrutiny pending in this office on the Transferee Company."*

6. The Tribunal, vide an order dated 26th February, 2018 passed in CA(CAA) No.07/BB/18 has already dispensed with convening and holding of the meeting of Equity Shareholders, Secured/Unsecured Creditors of the Transferee. The rationale of the Scheme of Amalgamation of the Transferor and Transferee Company is inter alia have the following benefits:

1) *The proposed Scheme would strengthen and consolidate the position of the Transferor and Transferee Companies to develop and concentrate on the core competency.*
2) *Pursuant to the implementation of the Scheme, the Transferee Company will have a strong financial and operational structure and will be capable of resource mobilisation and financial consolidation necessary to withstand the new competitive environment.*
3) *The objects of the Transferor Company and the Transferee Company can be conveniently, advantageously and economically carried on by a single entity.*
4) *The amalgamated company will have the benefit of synergy and stability of operations and would help to achieve economies of scale through efficient utilisation of resources and facilities as the companies concerned would be able to combine their resources, expand their activities, rationalise and streamline their management, business and finances as well as eliminate duplication of work to their common advantage. This in turn will enhance the share value for the benefit of the shareholders.*
5) *Considering the above, this Scheme will be beneficial to the companies concerned, their shareholders and all other concerned.*

7. The amalgamation of the Transferor Company with the Transferee Company, pursuant to and in accordance with this Scheme, shall take place with effect from the Appointed Date and shall be in accordance with Section 2(1B) of the Income-tax Act, 1961.

8. As per Definition 2.2, Scheme 'Appointed Date' means the 1st day of April, 2017, and as per Definition 2.5, 'Effective Date' means the date on which the last of the orders, sanctions, approvals, consents, conditions, matters or filings referred to in Clause 17 of this Scheme is complied with or obtained or waived, as the case may be. Any references in this Scheme to the "date of coming into effect of this Scheme" or "effectiveness of this Scheme" or "Scheme taking effect" shall mean the Effective Date. The Scheme has given the details of Share Capital structure, with regard to the Income-tax payment, Legal proceedings, Contracts, Deeds, etc.

"11. Consideration

11.1 Upon this Scheme becoming effective and in consideration of the amalgamation, the Equity Shareholders of KEMEFS, whose names appear in the respective Register of Members as on the Record Date, or his/her heirs, executors, administrators or the successors-in-title, as the case may be, shall be entitled to fully paid up equity shares of Rs.100/- each of VMOKSHA in the following ratio:

"1,00,000 (one lakh) fully paid-up Equity Shares of Rs.100/- each of VMOKSHA for every 3,86,779 Equity Shares of Rs.10/- each held in KEMEFS."

11.2 Upon this Scheme becoming effective and in consideration of the amalgamation, the Preference Shareholders of KEMEFS, whose names appear in the respective Register of Members as on the Record Date, or his / her heirs, executors, administrators or the successors-in-title, as the case

may be, shall be entitled to fully paid up preference shares of Rs.10/- each of VMOKSHA in the following ratio:

(A) "1 (one) fully paid-up 9% Redeemable Preference Shares of Rs.10/- each of VMOKSHA for every 1(one) 9% Redeemable Preference Shares of Rs.10/- each held in KEMEFS on the similar terms and conditions on which the same is issued by KEMEFS."

(B) "1 (one) fully paid-up 5% Redeemable Preference Shares of Rs.10/- each of VMOKSHA for every 1(one) 5% Redeemable Preference Shares of Rs.10/- each held in KEMEFS on the similar terms and conditions on which the same is issued by KEMEFS."

11.3 Any fraction arising on issue of Equity Shares by VMOKSHA as per Clause 11.1 above will be rounded off to the nearest integer.

11.4 The Equity Shares to be issued and allotted in terms hereof will be subject to the Memorandum and Articles of Association of VMOKSHA and shall rank pari passu in all respects with the existing Equity Shares of VMOKSHA.

11.5 The issue and allotment of the Equity and Preference Shares by VMOKSHA as provided under Clause 11.1 and 11.2 of this Scheme is an integral part hereof and shall be deemed to have been carried out without any further act or deed by VMOKSHA as if the procedure laid down under Section 62 of the Companies Act, 2013 and any other applicable provisions of the Act were duly complied with.

12. Accounting Treatment in the Books of VMOKSHA

VMOKSHA shall account for the amalgamation of KEMEFS in its books as per "Pooling of Interest" method provided in Accounting Standard-14 issued by the Institute of Chartered Accountants of India. Upon the Scheme becoming effective and with effect from the Appointed Date:

12.1 VMOKSHA shall record all the assets and liabilities of KEMEFS, transferred to and vested in VMOKSHA, at their respective book values.

12.2 Inter-corporate deposits/loans and advances outstanding between VMOKSHA and KEMEFS shall stand cancelled and there shall be no further obligation/outstanding in that behalf.

12.3 The identity of reserves of KEMEFS shall be maintained and the same shall be aggregated with the balances of similar reserves in the books of VMOKSHA.

12.4 The difference between the Share Capital issued by VMOKSHA to the shareholders of KEMEFS as per Clause 11 and the existing Share capital of KEMEFS shall be adjusted against the Reserves.

13. Winding Up of KEMEFS

On the Scheme becoming effective, KEMEFS shall stand dissolved without being wound up and without further acts by any party.

14. Amendment to the Memorandum of Association and Articles of Association

14.1 Upon the Scheme becoming effective, the Authorised Share Capital of KEMEFS shall stand transferred and credited to the Authorised Share Capital of VMOKSHA without any further act, instrument or deed on the part of the KEMEFS, including payment of stamp duty and fees payable to the Registrar of Companies. Accordingly, in the terms of the Scheme, the Authorised Share Capital of the VMOKSHA shall stand increased from Rs.12,00,00,000/- (Rupees Twelve Crores Only) to Rs.22,00,00,000/- (Rupees Twenty Two Crores Only), comprising of 16,90,800 Equity Shares of Rs.100/- each and 50,92,000 Preference Shares of Rs.10/- each without any further application to Registrar of Companies, Karnataka, Bengaluru.

14.2 It is clarified that for the purpose of increase in its Authorised Share Capital, the VMOKSHA shall not be required to pass any resolutions pursuant to Sections 13 and 14 and applicable provisions, if any, of the Companies Act, 2013 and consent of the shareholders to this scheme shall be deemed to be sufficient for this purpose. Further, for the sake of clarity, it shall also be deemed that the members of VMOKSHA have accorded their consent as required under the Act for the purpose of increasing its Authorised Share Capital.

14.3 The new capital clause of the Memorandum of Association of VMOKSHA shall read as under:

'(a) The Authorised Share Capital of the Company is Rs.22,00,00,000/- (Rupees Twenty Two Crores Only) divided into 16,90,800 (Sixteen Lakh Ninety Thousand Eight Hundred) Equity Shares of Rs.100/- (Rupees One Hundred Only) each and 50,92,000 (Fifty Lakhs Ninety Two Thousand) Preference Shares of Rs.10/- (Rupees Ten Only) each.

(b) The minimum paid-up share capital will be Rs.1,00,000/- (Rupees One Lakh Only).'

9. It is further stated that in pursuant to the Rule 16 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Petitioner Company has published a notice of hearing of the Petition in "Business Standard" in English and "Kannada Prabha" in Kannada, Bangalore Edition, on 5th day of July, 2018. In pursuant to that, no objection has been received.

10. M/s. Balu and Anand, Chartered Accountants, have issued a Certificate dated 27.03.2018 by certifying as follows:

"We have examined the scheme of Amalgamation of Kemefs Specialities Pvt Ltd with Vmoksha Technologies Pvt Ltd. In our opinion and to the best of our information and according to the examinations carried out by us and explanation furnished to us by the Company, its officers and

agents, we hereby certify that the accounting treatment proposed in the aforesaid scheme or arrangement is in conformity with the accounting standards prescribed under section 133 of the Companies Act, 2013."

11. After perusal of instant Scheme of Amalgamation of the Companies involved here (which is placed at Annexure D, page 101-113 of the petition) I find that the Scheme is comprehensive one complying with all provisions of Sections 230 to 232 of Companies Act, 2013. It covers all issues relating to legal proceedings, continuation of contracts, deeds, therefore, the Scheme in question prima facie satisfies primary conditions to sanction it, however, subject to compliance of various undertakings as mentioned in the scheme and to follow/comply various observations made by the Statutory Authorities as detailed supra. It is also appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be provisionally be approved. It is settled position of law that Court/Tribunal should not in the normal circumstances interfere in the decisions taken in their commercial wisdom by the Company in the normal course of its business, unless those decisions are contrary to law and prejudice the rights of parties etc.

12. In view of the above facts and circumstances of the case, CP(CAA)No.27/BB/2018 is disposed of with the following directions:

1) The Scheme of Amalgamation of M/s.Kemefs Specialities Private Limited (Transferor Company) with M/s.Vmoksha Technologies Private Limited (which is enclosed as Annexure D, page 101-113 to the Company petition) is provisionally approved subject to compliance/ follow various undertakings mentioned in the Scheme and to follow observations made by the Statutory Authorities as stated supra with a declaration that it is binding on the Companies involved in the Scheme and their respective shareholders and Creditor.

2) The Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of Scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25(7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.
3) Since the approval of instant Scheme is provisional and conditional, all the Statutory Authorities are entitled to take appropriate action in accordance with law and they are also at liberty to approach this Tribunal by filing Miscellaneous Applications in the instant application.
4) The Scheme shall be effective from the appointed date as mentioned in clause 2.2. Scheme of Amalgamation i.e.1st April, 2017 and effective date is as clause 2.5 of the Scheme.
5) Any person(s) who is aggrieved by this order is/are at the liberty to apply to this Tribunal by filing miscellaneous application in instant Application itself by seeking any directions that may be necessary.

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

Krishna